

Paradiem

The Morning Brief

JULY 24, 2026

Physical Bid

Alphabet and Tesla dragged tech sharply lower Thursday while Lockheed's material Q2 beat, oil above \$100 Brent, and Intel's post-close 18A yield step-up reset the setup into Friday.

S&P 500 (THU) \$738.18 · ↓1.23%	NASDAQ (THU) \$691.96 · ↓1.90%	WTI (USO THU) \$139.49 · ↑5.93%	LMT (THU) \$568.59 · ↑10.54%	FEAR & GREED CNN 43 Fear · data drop returned crypto fallback (28)
------------------------------------	-----------------------------------	------------------------------------	---------------------------------	---

SECTION 01

Markets — Split-Screen Tape as Alphabet and Tesla Dragged Comm Services and Discretionary Sharply Lower While Lockheed's Material Q2 Beat, Rising Oil, and a Defensive-Industrial Rotation Held the Bid; Intel's After-Close Beat and 18A Yield Step-Up Reset the Semi Setup Into Friday

THURSDAY RAN BIFURCATED AS THE ALPHABET CAPEX GUIDE AND TESLA MARGIN MISS COMPRESSED THE GROWTH COHORT WHILE THE PHYSICAL-INDUSTRIAL SLEEVE ABSORBED THE FLOW

Per data drop, the S&P 500 closed ↓1.23% at \$738.18, the Nasdaq ↓1.90% at \$691.96, and the Dow ↓1.00% at \$516.26 with the Russell 2K ↓0.58% at \$292.09 — a session where the sector map fractured cleanly along the capex-versus-cash-flow axis. Communication Services (XLC) closed ↓3.50% at \$105.38 with the Alphabet complex bearing the weight of the raised FY26 capex guide to \$195B–\$205B and the signaled 2027 step-up, while Discretionary (XLY) closed ↓4.61% at \$108.76 on the Tesla margin compression that took the operating margin to 1.4% per Electrek coverage. Offsetting the tech-heavy give-back, Industrials (XLI) ↑1.73% (\$181.94) led on the Lockheed Martin print, Healthcare (XLV) ↑1.26% (\$161.44) captured the Quest Diagnostics beat and raised guide, Utilities (XLU) ↑0.57% (\$46.19), and Energy (XLE) ↑0.30% (\$59.38) held the physical-asset bid. Per data drop, the top FCI board captured the bifurcation: LMT ↑10.54% (\$568.59), DGX ↑8.61% (\$227.90), HUT ↑7.11% (\$117.67), CRDO ↑3.61% (\$236.50), and SYK ↑3.15% (\$318.97); the bottom of the FCI tape ran NOW ↓3.69% (\$91.94), ETHA ↓2.82% (\$14.11), HOOD ↓2.78% (\$101.58), QCOM ↓2.57% (\$171.11), and SOFI ↓2.46% (\$16.65). The composition reads as a rotation into physical cash-flow generation rather than a broad de-risking.

LOCKHEED MARTIN'S Q2 PRINT WAS THE SESSION STANDOUT — THE BEAT, GUIDE RAISE, AND CASH-FLOW INFLECTION MATERIALLY RESET THE DEFENSE NARRATIVE

Per Lockheed Martin's Q2 release and Yahoo Finance / Benzinga coverage, LMT delivered Q2 EPS of \$7.94 versus the \$7.20 Zacks consensus (per Alphastreet framing cited in the data drop) on sales of \$20.1B ↑11% year over year. Cash

from operations came in at \$3.2B against \$201M in the year-ago quarter, and free cash flow reached \$2.9B against negative \$150M — a step-change that materially recasts the near-term capital-return trajectory. Per Yahoo Finance coverage, management lifted the full-year 2026 sales outlook to approximately \$79.75B–\$81.75B (from \$77.5B–\$80.0B)

alongside the \$10.5B GLSS2 program win referenced in Wednesday's brief. Per data drop, LMT traded to an intraday high of \$576.00 before closing at \$568.59, and the FCI Defense-adjacent sleeve caught the print — GD ↑2.31% at \$381.79 with the July 29 report on deck. The LMT read arrives with the US House's \$1 trillion defense authorization referenced Wednesday and the 13th consecutive night of US strikes on Iran per Reuters coverage cited in the data drop headlines — the program-demand backdrop and the print together argue that the FCI Defense positioning captured a genuine cash-flow inflection, not merely a headline beat.

S&P 500 (THU)	\$738.18 · ↓1.23% · range \$735.21–\$742.56
NASDAQ (THU)	\$691.96 · ↓1.90%
UVXY (VIX PROXY)	\$25.65 · ↑7.95%
XLC / XLY	↓3.50% / ↓4.61%
XLI / XLV / XLU / XLE	↑1.73% / ↑1.26% / ↑0.57% / ↑0.30%
LMT Q2	EPS \$7.94 vs \$7.20 est · Sales \$20.1B · FY guide \$79.75B–\$81.75B per Yahoo
DGX Q2	EPS \$3.12 vs \$2.85 est · FY guide raised to \$11.05–\$11.25 per Markets Daily / Yahoo
FCX Q2	EPS \$0.74 vs \$0.60 est BEAT · Stock ↓2.31% on softer copper sales outlook per Yahoo
CARSON'S SPY SUPPORT	\$645.80 active · Thu range \$735.21–\$742.56 · not hit

OIL CLEARED \$100 BRENT WHILE PRECIOUS METALS GAVE BACK — THE COMPOSITION ROTATED FROM REAL-ASSET BROAD BID TO CHOKEPOINT-CONCENTRATED ENERGY PREMIUM

Per data drop, USO closed ↑5.93% at \$139.49 and BNO ↑3.95% at \$53.45 — a decisive step-up consistent with Reuters coverage cited in the data drop headlines that Brent crossed above \$100 for the first time since May and remained set for a weekly rise on Middle East escalation. GLD closed ↓2.00% at \$371.52 and SLV ↓3.45% at \$52.06 in a give-back from the multi-day precious-metals bid, while TLT closed ↓0.32% at \$83.17 as rate expectations pushed higher on the oil move per Reuters headlines cited in the data drop referencing bonds struggling as oil batters rate risk. The FCI Upstream sleeve captured the energy bid unevenly — CVX ↑0.75% (\$194.42), OKE ↑1.61% (\$93.23), and CNX ↓0.49% (\$34.46) — while FCX ↓2.31% (\$63.50) sold on the Q2 print despite the EPS beat, per Yahoo Finance coverage cited in the data drop flagging the lower copper sales outlook. Per Reuters coverage cited in the data drop, oil tankers face an added month at sea and \$2.5M to reroute around both Hormuz and Bab al-Mandeb, and Southwest Airlines put Texas jet fuel on a boat to Los Angeles for the first time per CNBC — both data points argue that the physical-logistics premium is being embedded, not just the barrel price. **The physical world matters.**

The Alphabet-Tesla print pair delivered the capex-versus-cash-flow bifurcation that Wednesday's tape had priced in, and the physical-industrial sleeve caught the offset — Lockheed's cash-flow inflection, Quest's guide raise, and oil crossing \$100 Brent argue that Thursday was a rotation, not a broad de-risking. Intel's post-close beat and the 18A yield step-up reset the merchant-silicon setup into Friday.

Research Reveals Opportunities.

Geopolitics — Trump Vowed to Hold Iran Responsible for the Red Sea Attacks as US Central Command Completed a 13th Consecutive Night of Strikes and Brent Crossed Above \$100 for the First Time Since May; Shipping Reroutes Around Hormuz and Bab al-Mandeb Are Adding a Month at Sea and \$2.5M Per Cargo Per Reuters, With Physical-Logistics Adjustments Now Visible in the Southwest Airlines Jet-Fuel Shipment to LA

THE ENCELIA FOLLOW-THROUGH — TRUMP FRAMED IRAN AS RESPONSIBLE FOR THE RED SEA ATTACKS AND US FORCES COMPLETED THE 13TH CONSECUTIVE NIGHT OF STRIKES AS THE ESCALATION SEQUENCE CONTINUES WITHOUT AN APPARENT OFF-RAMP

Per CNBC and Reuters coverage cited in the data drop headlines, President Trump said Thursday that the US will hold Iran responsible for future Houthi attacks on shipping following Wednesday's targeting of two Saudi oil tankers in the Red Sea (including the Encelia reported ablaze at Jizan). Per Reuters coverage cited in the data drop, US Central Command completed its 13th consecutive night of strikes against Iran, and Reuters coverage of the physical market noted Brent crossed above \$100 per barrel for the first time since May, with the complex set for a weekly rise on Middle East escalation. Per Reuters headlines cited in the data drop, Asian equities sank and bonds struggled overnight as the oil spike stoked rate risks, and per Reuters exclusive coverage cited across the data drop, physical rerouting around both the Strait of Hormuz and the Bab al-Mandeb chokepoint is now adding roughly a month at sea and \$2.5M per cargo for affected oil tankers. Per CNBC coverage cited in the data drop, Southwest Airlines shipped Texas jet fuel to Los Angeles by boat for the first time on supply concerns — a data point that reads as physical-logistics adjustments moving into domestic infrastructure, not merely a Gulf-basin story. For the FCI Upstream sleeve, the composition remained bid: CVX ↑0.75% (\$194.42) and OKE ↑1.61% (\$93.23) alongside the WTI (USO) ↑5.93% (\$139.49) print. **The physical world matters.**

THE DEFENSE SLEEVE JUST RECEIVED THE CLEANEST PROGRAM-LEVEL READ OF THE CYCLE — THE LMT PRINT VALIDATED THE \$10.5B GLSS2 WIN AND THE \$1T DEFENSE AUTHORIZATION BACKDROP; GD REPORTS JULY 29

Per Yahoo Finance and Benzinga coverage, Lockheed Martin's Q2 EPS \$7.94 beat, the FY sales guide raise to \$79.75B–\$81.75B, and the free-cash-flow reversion from negative \$150M to positive \$2.9B collectively land against a program backdrop of the \$10.5B GLSS2 USSOCOM logistics and sustainment contract referenced Wednesday and the US House's \$1 trillion defense authorization referenced across recent briefs. Per data drop, LMT closed ↑10.54% at \$568.59 with the FCI Defense-adjacent GD ↑2.31% at \$381.79 ahead of the GD Q2 report on July 29. Per Reuters coverage cited in the data drop, physical-market disruptions on Middle East escalation continue with US Central Command running the strike cadence into a 13th consecutive night — a backdrop where the Patriot air-defense program and other munitions restocking arguments compound with the LMT cash-flow signal. For the FCI Defense sleeve, the Thursday print

provides validation of the ownership thesis without requiring a directional call on the Iran conflict itself: the demand signal is now embedded in the reported cash flow. **Avoid Erosion.**

US STRIKE CADENCE	13 consecutive nights per Reuters headlines in data drop
TRUMP FRAMING	US to hold Iran responsible for future Houthi attacks per CNBC / Reuters
BRENT THRESHOLD	Above \$100/bbl first time since May per Reuters
TANKER REROUTE COST	+~1 month at sea · +\$2.5M per cargo per Reuters
SOUTHWEST FUEL LOGISTICS	Texas jet fuel shipped to LA by boat first time per CNBC
LMT Q2 CASH FLOW	CFO \$3.2B vs \$201M PY · FCF \$2.9B vs -\$150M PY per Yahoo
LMT FY SALES GUIDE	Raised to \$79.75B–\$81.75B (from \$77.5B–\$80B) per Yahoo
GD Q2 REPORT	Scheduled July 29 · GD closed \$381.79 · ↑2.31%

On Our Radar

1. Intel's Post-Close Beat and the 18A Yield Step-Up Reset the Merchant-Silicon Setup — The Read-Through Extends to LRCX, KLAC, and the FCI Growth-Hybrid Chip Cohort Into Friday.

Per TradingKey coverage, Intel delivered Q2 revenue of \$16.1B and non-GAAP EPS of \$0.42 (approximately double the \$0.21 Zacks consensus referenced in Wednesday's brief) with non-GAAP gross margin at 41.8%. Per the same TradingKey coverage, the 18A node yield stepped up from 65% to 85% and CEO Lip-Bu Tan highlighted Intel Foundry exceeding internal volume targets with 18A tracking ahead of expectations; the Data Center AI segment posted record year-over-year server growth of 59% on Xeon 6 demand and AI-driven businesses collectively grew over 70% year over year. INTC traded ↑12.44% to approximately \$112.70 in after-hours per TradingKey. Per Yahoo Finance coverage cited in the data drop, ASML, AMAT, KLAC, and LRCX equipment names rose on the Intel capex bump signal. For the FCI Growth-Hybrid chip cohort, the Thursday session ran mixed — LRCX ↑0.15% (\$319.78), CRDO ↑3.61% (\$236.50), NXPI ↓0.54% (\$277.29), TSM ↓1.34% (\$415.58), NVDA ↓1.56% (\$208.76), MRVL ↓0.79% (\$209.32), AMD ↓2.29% (\$539.69), and QCOM ↓2.57% (\$171.11). The Intel print, combined with Alphabet's raised capex guide, argues that the merchant-silicon absorption cycle remains on track even as valuations are being reset. *Research Reveals Opportunities.*

2. NEE Reports Pre-Market — The Post-Dominion Deal Print Is the Cleanest Read on the FCI Utility-AI-Power Thesis.

Per NextEra Energy investor relations and StockTitan coverage, NEE releases Q2 2026 financial results on Friday, July 24, with earnings materials available at 7:30 AM ET and the investor webcast at 9:00 AM ET. Per GuruFocus and Zacks framing referenced in the data drop, analyst consensus sits at approximately \$1.11 EPS on \$8.17B revenue (Zacks consensus at \$1.105 per data drop), and per Seeking Alpha coverage the print is a key checkpoint for backlog growth and capex following the Dominion transaction. Per data drop, NEE closed ↑0.42% at \$89.79 into the print with the FCI Utility cohort holding firm — CEG ↑0.25% (\$275.60), VST ↑1.34% (\$168.98), ATO ↓0.24% (\$178.04), EIX ↓0.92% (\$79.64). The AI-power-demand thesis, which underpinned the CEG / VST rally cycle across April–July, needs the NEE print to confirm that regulated-utility capacity additions and backlog growth are keeping pace with the hyperscaler load-growth signal reinforced by Alphabet's raised FY26 capex to \$195B–\$205B. *Think Like an Owner.*

3. Quest Diagnostics' Q2 Beat and Raised Full-Year Guide Argue That the FCI Healthcare Sleeve Continues to Capture Preventive-Health Demand Through the Capex

Turbulence. Per Benzinga, StockStory, and Markets Daily coverage, DGX delivered Q2 adjusted EPS of \$3.12 versus approximately \$2.85 consensus on revenue of \$3.04B versus expectations near \$2.97B, with organic revenue growth of 10.0% year over year. Per the same coverage, management raised the full-year 2026 adjusted EPS guide to \$11.05–\$11.25 (from \$10.63–\$10.83) and lifted the revenue outlook to \$11.95B–\$12.05B (from \$11.78B–\$11.90B); DGX printed a fresh 52-week high per Markets Daily. Per data drop, DGX closed ↑8.61% at \$227.90 with the FCI Healthcare-adjacent sleeve capturing follow-through — SYK ↑3.15% (\$318.97) and ABT ↑0.18% (\$100.75). The FCI Healthcare positioning through DGX / SYK / ABT sits at the intersection of preventive-testing demand and MedTech volume trends; the DGX print provides fundamental validation independent of the tech-side capex debate. *Simplicity Over Complexity.*

4. Digital-Asset Sleeve Diverged from Neocloud Miners — HUT ↑7.11% Captured the AI-Infrastructure Read While IBIT and ETHA Gave Back on Risk-Off Composition.

Per data drop, IBIT closed ↓1.85% at \$36.65 and ETHA ↓2.82% at \$14.11 in a give-back alongside Thursday's broader risk-off tape, while HUT ↑7.11% (\$117.67) captured the neocloud-compute framing referenced in prior briefs per Benzinga and Seeking Alpha coverage cited in the data drop flagging HUT as an AI infrastructure execution story. Per data drop, HOOD ↓2.78% (\$101.58) sold off after the reported Vlad Tenev X-account hack that promoted a fraudulent token per Yahoo Finance coverage, and SOFI ↓2.46% (\$16.65) captured the broader consumer-fintech give-back. MARA ↑2.90% (\$12.77) tracked HUT's mining-cohort bid rather than the IBIT retracement. For the FCI Digital-Asset sleeve, the divergence between HUT (infrastructure-adjacent) and IBIT / ETHA (pure-crypto) reinforces the framing that the mining names should be evaluated alongside the physical-AI infrastructure thesis rather than in isolation. Carson's SPY \$645.80 support remains active per levels.json, well-removed from Thursday's intraday range of \$735.21–\$742.56 per data drop — no level was hit. *Avoid Erosion.*

5. Fed Blackout Continues Through July 28–29 FOMC; New Home Sales at 10 AM ET Today, PCE Thursday July 30 — The Oil-Above-\$100-Brent Print Now Sits Directly in the Fed's Data-Dependent Path.

Per Federal Reserve schedule, the pre-FOMC communications blackout continues through the July 28–29 meeting (no SEP is released at the July meeting per Fed schedule). Per the US economic calendar per Scotiabank and TradingEconomics framing, New Home Sales for June release at 10:00 AM ET today, and per BEA release schedule, June PCE prints Thursday, July 30. Per Reuters coverage cited in the

data drop headlines, Brent above \$100 for the first time since May with bonds struggling as the oil spike stokes rate risks — a composition that historically feeds into a hotter headline print without necessarily moving core PCE, though the pass-through remains a live debate into the FOMC's July 29 rate decision. Per data drop, TLT closed ↓0.32% at \$83.17 and UVXY ↑7.95% at \$25.65; the FCI Dividend sleeve captured mixed defensive flow — STLD ↑0.81% (\$240.57), NEE ↑0.42% (\$89.79), ATO ↓0.24% (\$178.04), CL ↓1.69% (\$90.08), and SPGI ↓2.11% (\$420.00). Today's pre-market includes NEE (FCI), AXP, VZ, CHTR, and SLB among the notable prints per Earnings Whispers framing. *Simplicity Over Complexity.*